

States **PUNJAB**

pushed back the state's economy. It was among the last states to do away with octroi which is still levied on electricity. Octroi was replaced by local area development tax in the state, which has only hampered the movement of goods.

Though Punjab still has the highest per capita income (Rs 19,500 as against the national average of Rs 6,929), the World Bank notes in its 2009 report: "Growth has perceptibly slowed over the past two decades and is now below the national growth rate. The challenge before the state is thus to diversify its economy from an over-dependence on agriculture by creating an enabling investment climate for industry and for the services sector."

The Government is banking a lot on Value Added Tax—introduced in



“ It's a failure of governance. By the time the Government completes its term in 2012, the state's debt will grow to Rs 75,000 crore. There's no financial discipline. ”

S.S. JOHL, Agro-economist

2005-06—with the state mopping up Rs 8,000 crore during the current financial year, and it hopes to collect Rs 11,000 crore by March 2011. “Yes, the state's debt has multiplied but for that, many factors are to be blamed. The present Government has been doing its job very well and is making rapid strides on the path of progress and prosperity. The rising debt is no parameter to measure the state's progress. Even our country is in debt,” says Sukhbir, who is not in favour of withdrawing subsidies as is evident from the report of the two-member Committee on Resource Mobilisation submitted to the chief minister on January 19. The report contained recommendations for fiscal reforms from the committee comprising Sukhbir and industries minister Manoranjan Kalia.

Talk of withdrawing subsidies and the farmers and almost everyone else vehemently oppose it in unison. Why don't the politicians reduce the

burden on the exchequer by doing away with the security paraphernalia of the pre-terrorism days, they ask. Why don't the ruling parties avoid heavy costs by not pleasing partymen by appointing them chairpersons and parliamentary secretaries? The state is even flayed for top-heavy bureaucracy and police: it has five DGPs and 11 ADGPs. Why don't they shut down money squandering PSUs? And why don't they make efforts to prevent industry from closing shop and running to other states?

“The chief minister and his deputy waste Rs 10 crore on useless helicopter rides annually and another Rs 10 crore on lavish ad gimmicks. Why not cut these? The finance minister says he is sad. Why can't he take some stern steps instead? The fact of the matter is that the Government has collapsed,” says Congress MLA Sukhpal Singh Khaira.

Punjab's political leadership doesn't seem to understand that when it gives those kinds of subsidies and freebies, it is not necessarily benefiting the farmers and others. But it is surely depriving them and their children of education and health facilities, which they need more than anything else. ■

THE DEBT TRAP

■ The revenue deficit opened up in 1987-88. The revenue spend outdid revenue receipts by Rs 229.02 cr. In 1997, the deficit was Rs 1,357.06 cr. It went up to Rs 3,781.19 cr by 2002 during the Akali Dal-BJP regime.

■ The total debt rose from Rs 15,250 cr in 1996-97 to Rs 32,496 cr in 2001-02 despite the Centre waiving the special term loan of Rs 2,433.74 cr from 1997-2000

■ When the Congress government demitted office in 2007, it had added Rs 15,305 cr to the state's debt, taking it to Rs 47,801 cr